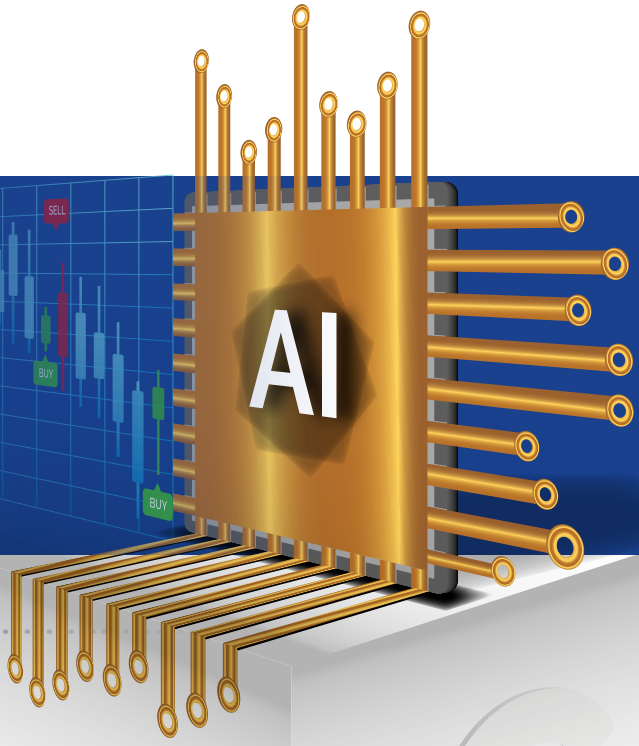
ESMA
European Securities and Markets Authority

MFSA
MALTA FINANCIAL SERVICES AUTHORITY

Using Artificial Intelligence for Investing: **What you should consider**



The use by the public of tools powered by artificial intelligence (AI) is becoming more and more popular, including in the context of financial investing. Investors have access to public online AI tools and applications (apps) that can suggest investments based on publicly available knowledge [1].

AI tools can provide valuable support in many areas, but they also come with a set of risks. Despite their innovative potential, AI tools can generate advice that could be inaccurate or misleading and that may result in poor investment decisions and significant financial losses.

What you should know at a glance

1

Seek multiple perspectives

Do not rely solely on publicly available AI tools for investment decisions that may impact your financial wellbeing. Use them as one of many resources and consider relying on authorised professionals.

2

Avoid get-rich-quick schemes

Be sceptical of promises of high returns through AI-based strategies.

3

Regulation matters

AI tools that are publicly available online do not hold any obligation to act in your best interest.

4

Understand the risks

Be aware of the limitations and potential inaccuracies of advice generated by AI, as it can be based on outdated, incorrect or incomplete information.

5

Protect your privacy

These tools may not have adequate security measures in place to protect your personal data.

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[1] This document is not intended to provide a legal qualification for the services described herein. Any legal characterisation of such services is subject to the applicable regulatory framework and should be assessed on a case-by-case basis.

Be careful when using public online AI tools that recommend investments to you

There is a growing availability of public online AI tools that, if prompted, can provide highly convincing and apparently professional advice on investments. These tools can even ask you questions about your financial status, objectives, risk tolerance and preferences, to provide you with investment advice that seems tailored to your specific personal circumstances.

Be aware that public online AI tools:

- Are not authorised nor supervised by financial regulators. **As an investor, you are not as protected as you are when you are using services from authorised investment firms.** For example, public online AI tools do not hold any obligation to act in your best interest and to provide advice that is tailored to your personal circumstances.
- Are not explicitly designed to generate investment advice. **You may incur financial losses.**
- Often work in ways that even their developers do not fully understand. This makes it risky to rely on them, especially in complex, unpredictable financial markets. **Avoid relying solely on automated tools; human judgement is crucial.**
- Are not required to apply the same strict standards and rules as authorised entities, meaning that if something goes wrong, **you may not have access to a financial ombudsman or to alternative dispute resolution mechanisms for the resolution of complaints.**

- **Remember that no one and nothing, including AI tools, can accurately predict financial markets.** While AI is a promising technology, there are no shortcuts to wealth.
- Do not rely solely on publicly available AI tools for investment information and advice. **Gather information from multiple sources before making investment decisions.**
- **Consider relying on authorised professionals** for investment decisions that could impact your financial well-being.
- **Do not share personal data (e.g. name, age, gender, contact details, title, marital status or financial situation) with publicly available online AI tools.** These tools may not have adequate security measures in place, putting your personal information at risk. Protect your privacy.

Always approach AI tools with caution and scepticism

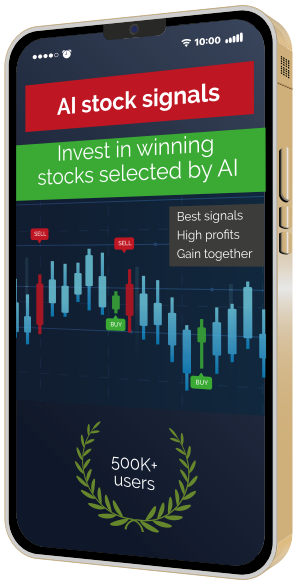
- Make sure you understand the inherent risks involved in securities trading and **consider seeking advice from authorised investment professionals** who can provide tailored advice and personalised recommendations.
- Remember that no one and nothing, including AI-powered tools providing trading ideas, can guarantee you success in the stock market. **Do not trust claims or promises of excessively high returns that sound too good to be true.**
- When investing, **always carry out careful research and make considered decisions**.

Be careful of AI-powered apps generating 'stock signals'

There is a growing number of websites and apps that offer AI-generated trading ideas and suggestions, often in exchange for expensive monthly or yearly fees, using names such as 'stock picking' or 'stock signal'.

You should be aware that:

- Trading financial instruments is inherently a risky activity and predicting price movements is extremely difficult, if not impossible. **Be wary of websites and apps that assert their ability to predict future securities prices with high accuracy.**
- AI-powered tools providing trading ideas can generate incorrect information. They might be based on outdated, incorrect or incomplete information. The accuracy of AI-generated predictions can vary significantly. **You could lose money by relying on these tools alone.**



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